

SORIN ANAGNOSTE



BUSINESS STRATEGIES

Building Sustainable Models
with Artificial Intelligence and Digital Platforms

2nd ed.

**This is a free sample
of the book. It includes:**

Contents

Part of Chapter II.7. Network effects

Part of Chapter III.4. Disrupting
Traditional Industries: Generative AI's
Impact Across Sectors

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Network effects

Reid Hoffman ✓

entrepreneur and venture capitalist

...

The magic of network effects is that they generate a positive feedback loop that results in superlinear growth and value creation. This superlinear effect makes it very difficult for any node in the network to switch from an incumbent to an alternative (“customer lock-in”), since it is almost impossible for any new entrant to match the value of plugging into the existing network. (Nodes in these networks are typically customers or users, as in the canonical example of the fax machine, or the more recent example of Facebook, but can also be data elements or other fundamental assets valuable in a business.)

Key Insights:

- Network effects create positive feedback loops.
- Network effects can create strong barriers to entry.
- Direct (value increases with more users) and indirect (value increases with complementary products/services) network effects impact businesses differently.
- Platforms enable direct user interactions, while aggregators act as intermediaries between consumers and third-party suppliers.
- Companies build competitive advantages (moats) through various strategies such as network effects, supplier relationships, and customer loyalty.
- The impact of network effects on a company’s core product depends on the nature of the product and its industry.
- Companies need to adapt their strategies as they scale.

Why do network effects matter?

Fast forward 14 years since Marc Andreessen wrote that software ate the world. Most dominant companies in software have used the network effects to grow and maintain a competitive advantage.

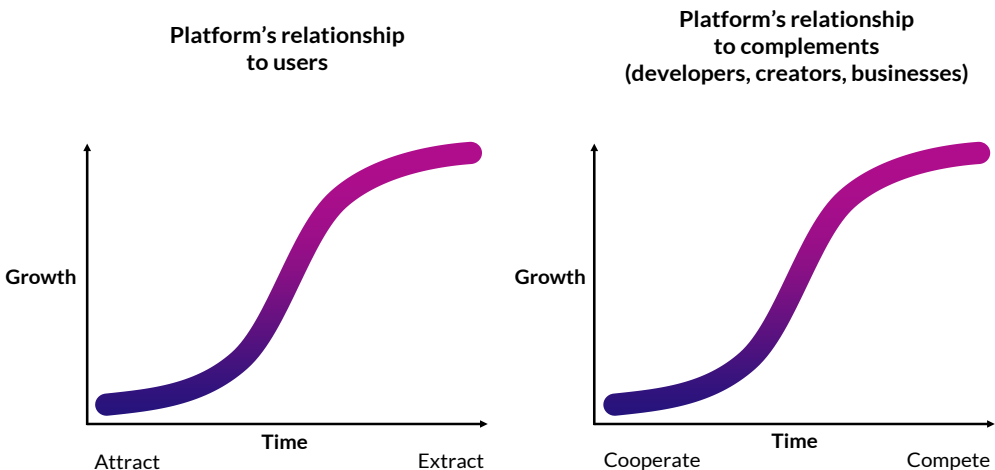
Main reasons to be used:

1. **Barriers to entry** – they are expensive to build and once are built they don't assure your success.
2. **Better margins** – in the long term they tend to monopolies, hence generating a good profit margin.
3. **Building monopolies** – although we see multiple players in each market in the medium and long term (5 to 10 years), most of the companies become irrelevant (e.g., X, Snap etc.) to the detriment of the real winners (e.g., Instagram, Youtube, TikTok etc.).

Once a platform reaches network effects, the relationship with those who made that possible (i.e., users and third-party developers) changes from a positive sum to a zero-sum game. We have seen this many times, for example: Microsoft vs. Netscape, Twitter vs. third-party clients, Apple vs. Epic etc. These are the risks when you build on centralized platforms. The transition from “cooperation” to “competition” happens overnight. Figure II.23 shows how this is represented graphically.

Figure II.23 **PLATFORM'S RELATIONSHIP WITH USERS AND 3RD PARTIES**

Source: Dixon, 2018 (adapted)



Key concepts

Network effects refer to the beneficial influence that the presence or size of a network has on the value of a product or service. In other words, the greater the number of users of a product or service, the greater its value to each individual user. The phone is a famous example of network effects. When more individuals adopt the technology, the telephone becomes more valuable to its user, as there are more people with whom they may interact. This produces a positive feedback cycle in which the greater the technology's value, the more users it draws.

Social media sites such as Facebook, TikTok, and Instagram provide another illustration of network effects. These platforms draw their worth from the scale of their user base, since the more users the platform has, the more valuable it is to each individual user. This is because the platform's value lies in the relationships it facilitates between users, such as the capacity to exchange instant messages, photographs, videos, and other material. When more individuals join the platform, the possibility of forming new relationships grows, which in turn draws even more users. As a result, the overall experience on that site increases.

E-commerce sites such as Amazon provide a third illustration of network effects. The more buyers and sellers utilize the platform, the greater its value to both parties. Consumers have access to a greater variety of goods and services, while sellers gain access to a wider pool of prospective clients. This generates a self-reinforcing loop in which the more buyers and sellers on the platform, the more valuable it becomes, attracting even more users and companies. Moreover, the platform may utilize its size to negotiate better terms with suppliers, so enhancing its value for both buyers and sellers.

All these types of network effects can be summarized as in Figure II.24.

Direct and indirect network effects

Direct network effects that are the effects a network has on its members. As more people utilize a product or service, its value rises. For example, as more people join a social network and share content, the value of sites like Instagram and TikTok increases for their users. For Google, the more people use the service, the better it gets its search algorithm, which in turn makes more people google.

When there are more users on a network, there are more opportunities for people to communicate and share information.

“The more data you have the better you can train your machine-learning models.”

Sam Altman, CEO Open AI

On the other hand, indirect network effects refer to the effects a network has on complementary products or services. This occurs when the value of a product or service increases

as more individuals utilize complementary products. For instance, the value of a video game console rises as more game developers create games for it, and the value of the games rises as more people purchase the console on which to play them (e.g., PlayStation). In this sense, the console's value and the games' performance are interdependent and mutually reinforcing.

How do we value communication networks?

Sarnoff's law

Also known as the "Law of the Network Effect", is a principle that states that the value of a network increases proportionally to the number of users in the network. It is named after David Sarnoff, a pioneer in the radio and television industry. (e.g., Yahoo)

Metcalfe's law

It is a principle that states that the value of a network is proportional to the square of the number of users in the network. As more users join these platforms, the value of the network increases exponentially, as there are more potential connections and interactions between users. (e.g., Social Media companies etc.)

Reed's Law

It is a principle that states that the value of a network increases exponentially as the number of groups within the network increases. The more subgroups there are, the more potential interactions and collaborations there can be between them, leading to an exponential increase in the value of the network. (e.g., Discord, Reddit, Quora, eBay, LinkedIn etc.)

Network vs. Platform

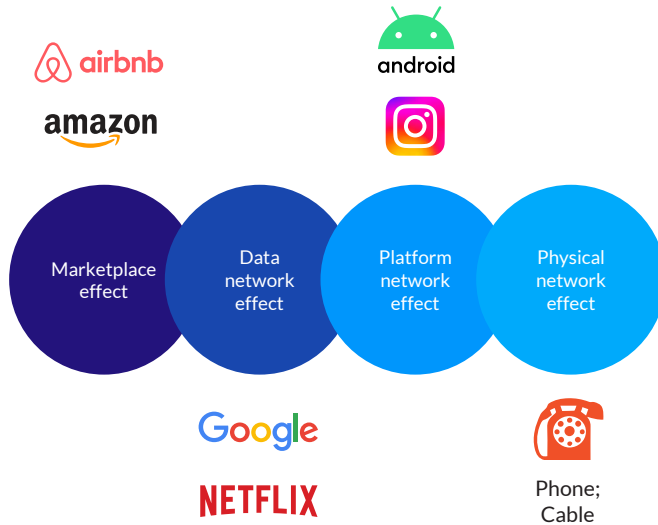
There are distinctions between a network and a platform when it comes to describing digital ecosystems that link users.

Typically, a network is a collection of interconnected nodes, where each node represents a single user or group of users. These networks are decentralized and self-organizing, with no central authority or structure. The connections between nodes can be direct (e.g., peer-to-peer networks) or indirect (e.g., social networks), and they can be based on criteria such as common interests, location, or social ties. Social networks such as Facebook, TikTok, and LinkedIn, as well as decentralized networks such as Bitcoin and Ethereum, are examples of networks.

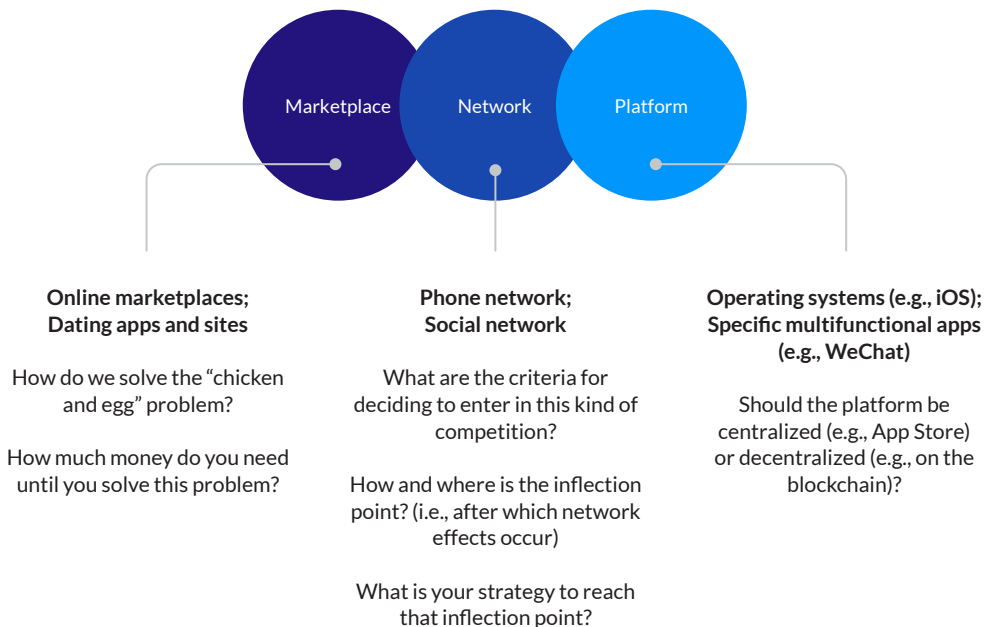
In contrast, a platform is often a digital infrastructure or service that links users to other users or to other resources, such as content, products, or services. Typically, platforms are centralized and owned by a single business, which provides the platform's infrastructure, regulations, and governance. Users of a platform often interact with it via a set of standardized interfaces or APIs, which provide them access to the platform's resources and services. E-commerce platforms like Amazon and Temu, app marketplaces like Apple's App Store and Google Play, and ride-hailing platforms like Uber and Bolt are examples of platforms.

Figure II.24 **TYPES OF NETWORK EFFECTS**

Source: author's own research

Figure II.25 **QUESTIONS FOR EACH TYPE OF GO-TO-MARKET**

Source: author's own research



The primary distinction between a network and a platform is that networks are often decentralized and self-organizing, whereas platforms are typically controlled and owned by a single company. Platforms focus on linking users to resources and services, whereas networks focus on connecting users to one another. Summarizing, we have networks, marketplaces, and platforms, for which different questions can be asked (Figure II.25).

To solve the aforementioned questions from the figure above, you better define if your product is single-player or multiplayer:

- **Single-player** – can work better on the product that has something cool and useful and can draw instant attention and usage. TikTok revolutionized how we consume content and offered through its algorithm access to creators from around the world, without them being in your circle of friends or followers. This advantage is still in place, although Facebook has too much money to develop something similar.
- **Multi-player** – the product has no utility without others (e.g., Discord.)

In search of the perfect moat companies can evolve over time (see Figure II.26).

In his interview with James Breyer, Mark Zuckerberg explains the power of network effects on Facebook (Figure II.27). This leads us to the last part of our topic: building and maintaining network effects.

Building and maintaining network effects

What is your entry strategy?

The answer to closing the gap, according to Geoffrey Moore in his book *Crossing the chasm*, is to establish a specific target market and concentrate all efforts on addressing their demands. This requires a transition from the product-centric strategy of early adopters to a market-centric strategy.

Moore advises businesses to develop a niche market by identifying a particular consumer segment with a compelling need for their product or service. This specialized market should be sufficient to support the business and offer a solid platform for future expansion. Hence, companies should concentrate on establishing a “bridgehead” in this market by offering a comprehensive solution that fits the demands of their target clients.

After establishing a foothold, the organization should concentrate on expanding its market by targeting adjacent segments with comparable demands. Moore advises businesses to leverage their current client base and their positive experiences to acquire new consumers. Companies can effectively cross the chasm and reach mainstream success by focusing on a particular market and addressing its demands.

He started from the law of diffusion of innovation (Figure II.28) and proposed an updated model (Figure II.29).

Figure II.26 THE EVOLUTION OF FACEBOOK

Source: author's own research



Figure II.27 NETWORK EFFECTS EXPLAINED

Source: Zuckerberg, 2005 (adapted)

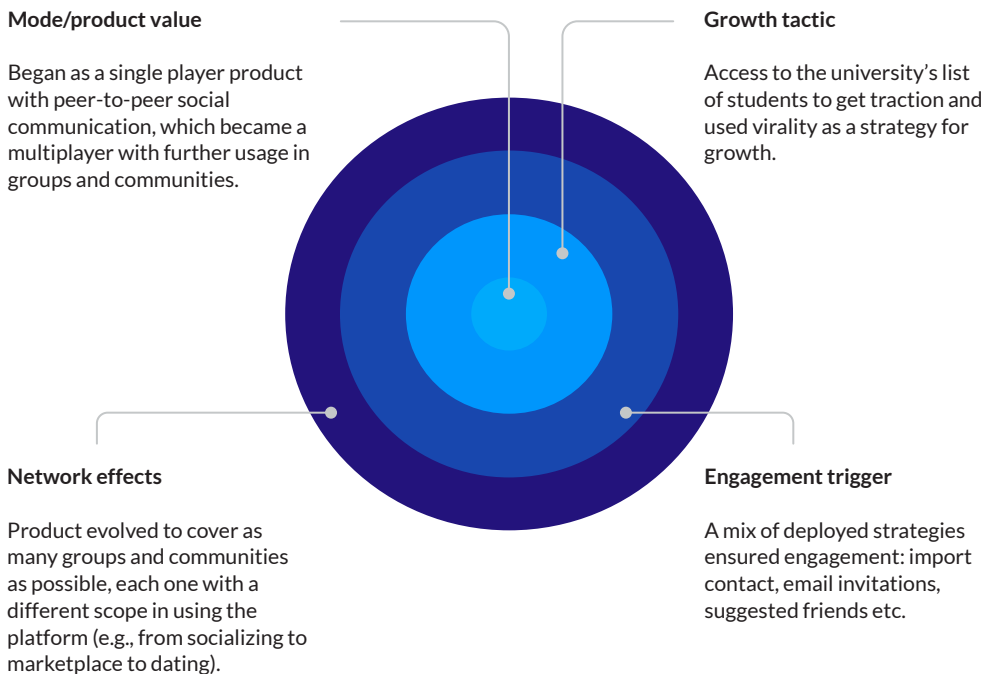


Figure II.28 **DIFFUSION OF INNOVATION MODEL**

Source: Rogers, 1995 (adapted)

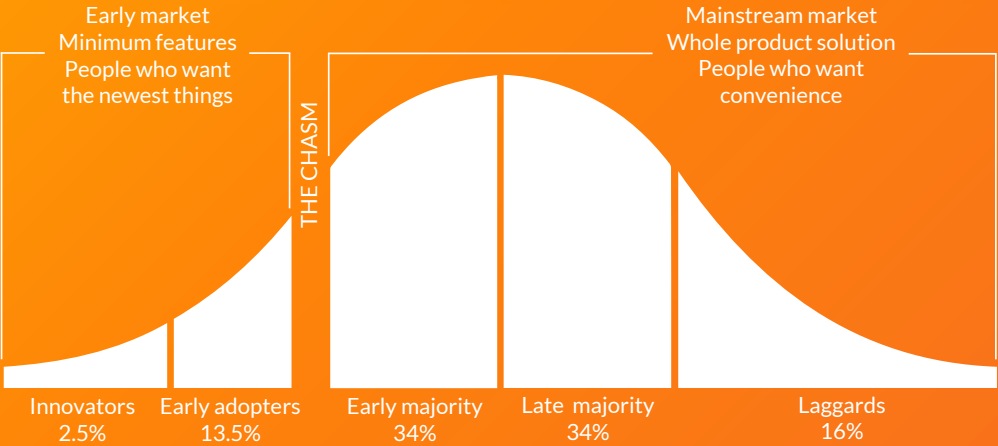


Figure II.29 **UPDATED DIFFUSION OF INNOVATION MODEL**

Source: Moore, 2014 (adapted)

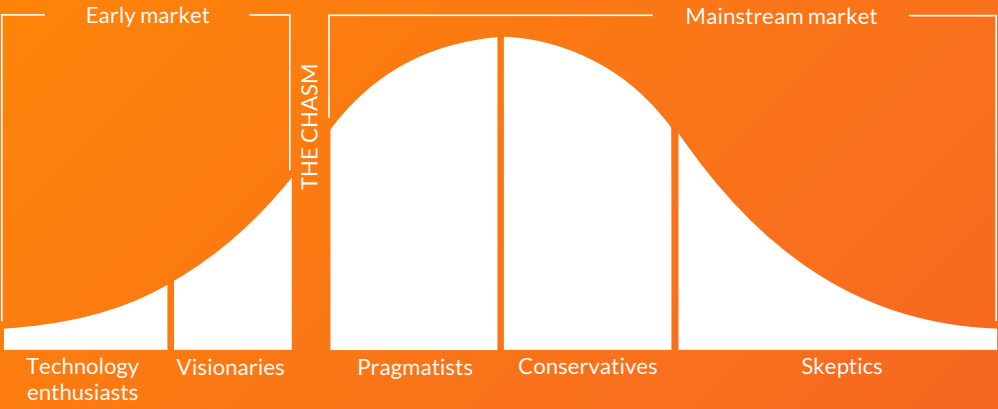
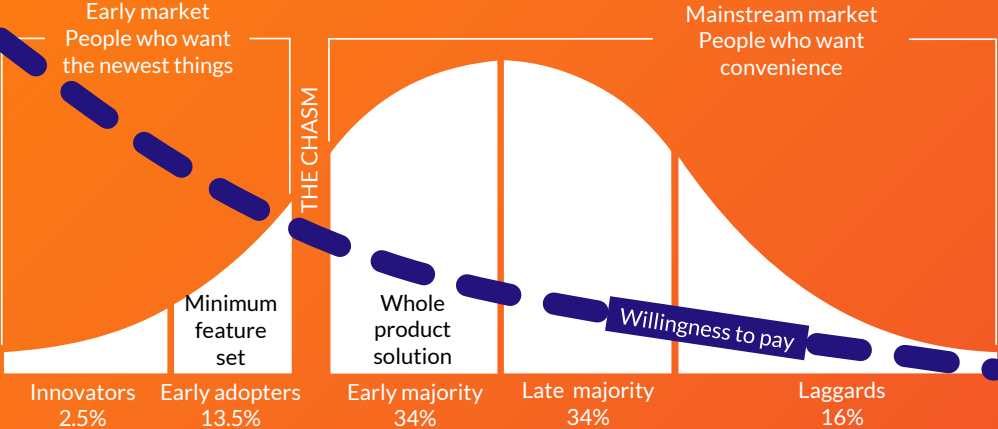


Figure II.30 **CROSSING THE CHASM**

Source: Moore, 2014 (adapted)



First conclusion: What brought you to one category will not bring you to the next category.

Basically, if your product doesn't become viral in the first 1-3 years, it will take more than a couple of years and billions of dollars to reach network effects. When it comes to physical products, it can take around five years to take off (e.g., iPod, iPhone etc.).

Second conclusion: The customer's willingness to pay decreases with each category of customers, as seen in Figure II.30.

Define what your North Star Metric is and act accordingly

The North Star Metric is often connected to the company's fundamental value proposition and is used to measure the company's long-term success and sustainability. It should be quantitative, meaningful, and actionable, and provide insight into the company's overall health and performance.

North Star Metrics for various enterprises may include daily active users (DAU) for a social media platform, monthly recurring revenue (MRR) for a software-as-a-service (SaaS) company, or net promoter score (NPS). In Figure II.31 is a proposed framework by Just Mad user, from MIRO.

What is your product roadmap plan?

A product roadmap is a strategic document outlining the vision, objectives, and timeframe for the development of a specific product or collection of goods. Often prepared by product managers and other stakeholders, this document acts as a guide for the product development team.

The usual roadmap strategy contains the following elements:

- **Vision** – including the problem it answers, the target market, and the desired results.
- **Goals** – such as revenue targets, customer acquisition goals, and feature development objectives.
- **Timetable** – provides an overview of the project's schedule, broken down into important milestones and due dates.
- **Features and functionalities** that will be incorporated into the product, as well as any pertinent technical specifications or needs.
- **Potential risks and obstacles** that may arise during the development process and outlines mitigation or resolution options.
- **Key performance indicators (KPIs)** that will be used to measure the product's success and how they will be tracked and reported.
- **Stakeholders** – describes the important players engaged in the process of product development, including customers, partners, investors, and internal teams.

The example of Snapchat’s strategy is given in Figure II.32.

...and besides the innovation achievements, the company still loses money. The company reported a net loss was \$1,32 billion in 2023 compared to -\$1,43 billion in 2022, although innovation was high (Figure II.33).

Going after the hardest market part

Typically, there are two parts to a marketplace: buyers and sellers. Because of the phenomenon known as the “chicken-and-egg” dilemma, it is usual for one side to be harder to attract than the other.

This dilemma is present in the beginning because both sides of the market rely on each other to create value. For instance, buyers require a critical mass of sellers to have sufficient options and competition, while sellers require a critical mass of buyers for it to be worthwhile for them to offer their goods or services.

If one side of the marketplace is more difficult to attract than the other, it could create a vicious cycle in which the lack of participants on one side makes it less beneficial for participants on the other side to participate. If there are too few vendors, for instance, buyers will have fewer options, which reduces the marketplace’s value for them, which in turn makes it less appealing to potential sellers.

Figure II.31 **NORTH STAR FRAMEWORK**

Source: Workshop framework by Just Mad, 2021; MIRO.com (adapted)

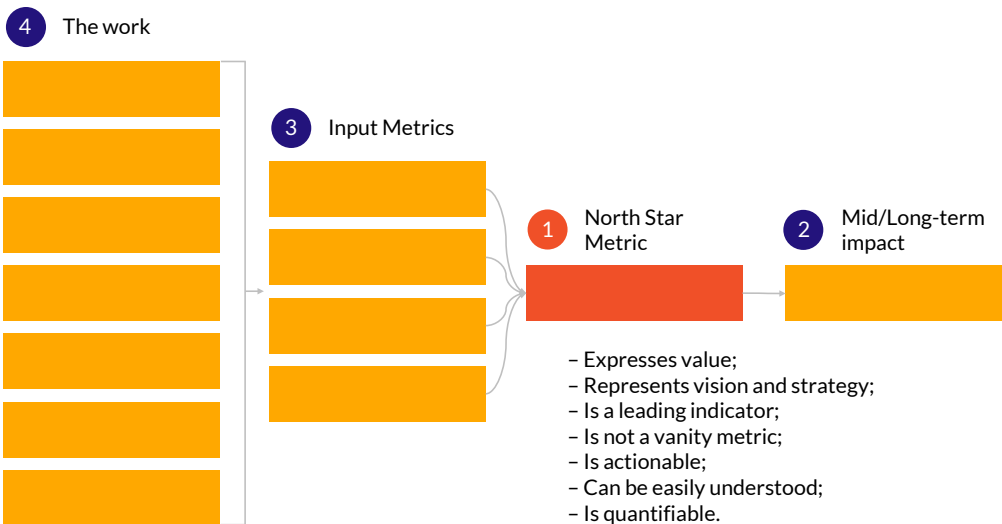


Figure II.32 **THE STRATEGIC VALUE CREATION AT SNAPCHAT**

Source: Snap, 2024 (adapted)

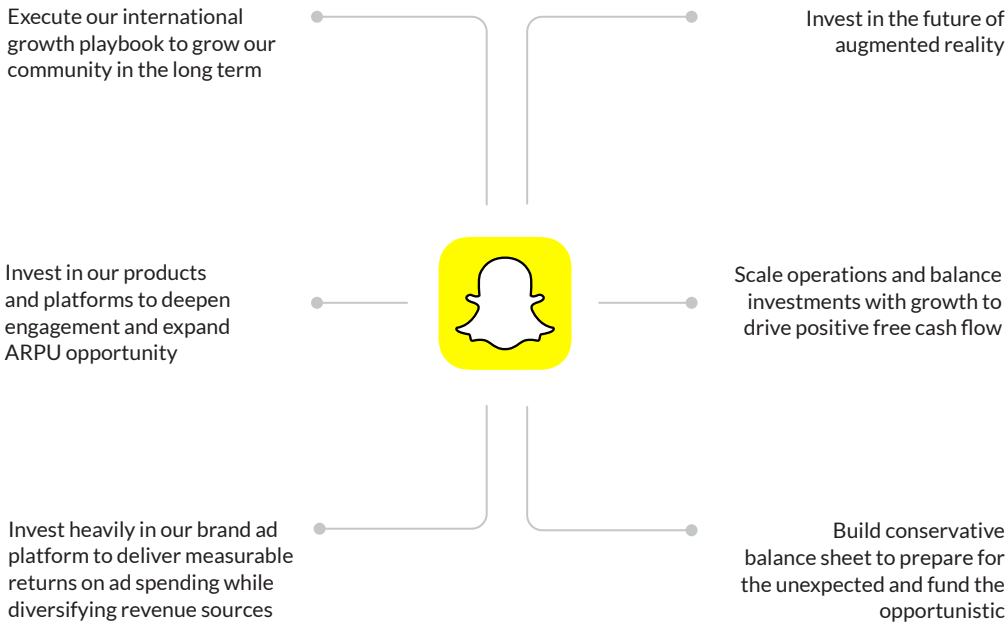
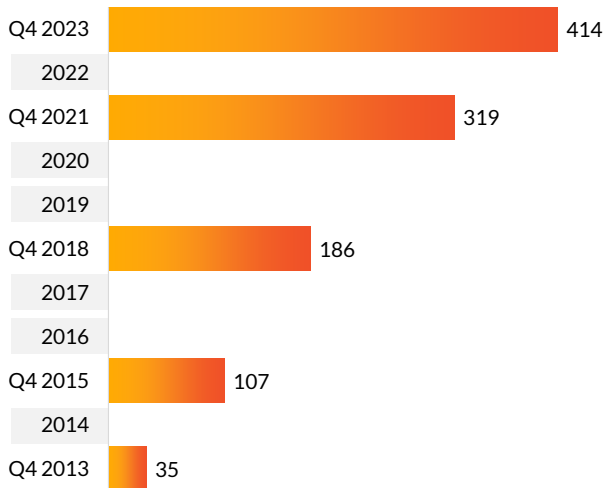


Figure II.33
**DEMONSTRATED
TRACK RECORD
OF INNOVATION
AT SNAP
(IN MIL. DAUS)**



Source: Snap, 2024 [data]
i.) DAUs = daily active users.



To solve this challenge, marketplaces frequently concentrate on attracting one side of the market first, typically the simpler side to attract. Once a side reaches a critical mass of people, it becomes more appealing to the opposing side, which can be drawn with more ease. A second strategy, and the most frequent, is to provide early adopters on one side of the marketplace incentives, such as free listings or discounts, to encourage participation. (e.g., free trips or a credit on Uber, referral programs etc.)

QUESTIONS FOR BUSINESS LEADERS

1. How can your organization incorporate network effects in your products or services?
2. In what ways can you differentiate between direct and indirect network effects in your business model?
3. How are you continuously strengthening your company's moats (e.g., network effects, supplier relationships) to defend against new entrants and maintain market dominance?
4. What strategies are you using to transition from early adopters to mainstream customers?
5. What is your plan to reach all categories of clients in the market, if any?
6. How does your company respond to competition?
7. How can you use gamification or referral strategies, such as those employed by Temu, to drive user acquisition and engagement?

CASE STUDY 1: TIKTOK

"What nobody had anticipated in the United States was the level of investment that ByteDance made into the U.S. market, and of course in Europe, because it was just something that was unimaginable – no startup could afford to invest billions and billions and billions of dollars in user acquisition like that around the world...It was a totally different strategy than any technology company had expected before because it wasn't an innovation-led strategy; it was really about subsidizing large-scale user acquisition." Source: Spiegel, 2022

Questions:

1. What are other strategies TikTok has deployed to reach its current status (and success)?
2. How can existing social media companies respond to TikTok's growth?
3. Who are TikTok's next competitors beyond social media and why?

Disrupting Traditional Industries: Generative AI's Impact Across Sectors

Aaron Levie ✓
CEO Box

...

Incumbents get disrupted because the very moats a company builds up to be successful in one era become a liability in the next.

Key Insights:

- Generative AI is evolving from providing information to delivering actionable insights across various industries.
- AI is transforming multiple sectors (all?), including the media, healthcare, education, finance, legal services, and retail.
- In media and entertainment, AI enables personalized content creation and the rise of virtual influencers.
- Healthcare is seeing AI-driven improvements in diagnosis, drug discovery, and personalized treatment plans.
- AI is revolutionizing education through adaptive learning platforms and personalized tutoring.
- Financial services are leveraging AI for trading algorithms, fraud detection, and personalized financial advice.
- Retailers will utilize AI to do inventory management, personalize shopping experiences, and optimize supply chains, reducing waste and increasing customer satisfaction.

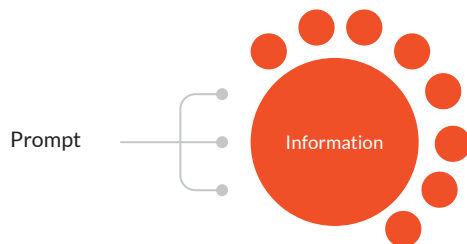
In the previous chapters I mentioned that creative tasks are going to be the first to be impacted, but also entire processes and/or functional business lines. During 2024 one trend was clear: generative AI was moving from providing information to insights (see Figure III.12). So, some examples are given in Table (III.3).

Figure III.12 **GENERATIVE AI IS PROVIDING INSIGHTS**

Source: Yang & Zeya, 2024 (adapted)

Wave 1: Generative (GenAI)

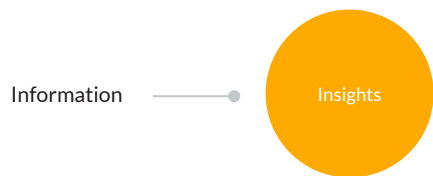
From prompts to long-form responses



UX is natural language prompt and response;
Benefit is fun and shareable;
Generic datasets/foundational models.

Wave 2: Synthesis (SynthAI)

From vast volumes of information to insights



UX is embedded into existing workflows or completely automated;
Benefit is improvement to speed and/or quality;
Domain-specific datasets/fine-tuned models.

In the following pages, we will focus on some selected industries that will be impacted by generative AI and how.

Media and Entertainment

The media and entertainment industry are being radically transformed by AI, which enables the production of AI-generated content, including music, art, video, and scripts. This process can reduce production costs and time. This area is mostly targeted by start-ups like OpenAI with solutions like Sora. The film industry will never be the same (see Figure III.13).

Viewer engagement is improved by personalized storytelling, which involves the customization of content to meet the preferences of each individual. Furthermore, the prevalence of virtual influencers, which are generated through artificial intelligence, is on the rise. It is not exaggerated to think that these days the influencers are believed more than...experts. These influencers provide brands with innovative methods to engage with their audiences and the development of distinctive digital personas that engage with followers.

Table III.3 **DIFFERENCES BETWEEN WAVE 1 GENERATIVE AI AND WAVE 2**

Source: Yang & Zeya, 2024 (adapted)

Function	Wave 1 - GenAI	Wave 2 - SynthAI
Sales	Generate high volumes of somewhat personalized cold outbound emails	Identify which prospects to send a cold outbound email to, and when, by researching relevant reports. Inform how cold outbound email is best personalized based on research on both account and individual levels.
Marketing	Generate ad copy	Inform which email campaign a customer should get based on product usage. Design ideal cadences for email campaigns based on customer segment and prior success with peer companies.
Customer Success	Generate updates on product releases	Understand most important features for a CSM to highlight at the next QBR with a customer that will deepen their usage.
Product	Generate specs	Evaluate tradeoffs between competing feature requests by summarizing options, pros/cons, and propose how to weigh criteria based on previous decisions.
Legal	Draft legal documents	Summarize most important issues in a contract, as well as any irregular language. Suggest research leads or reassure precedent case law doesn't exist when revising a litigation brief.

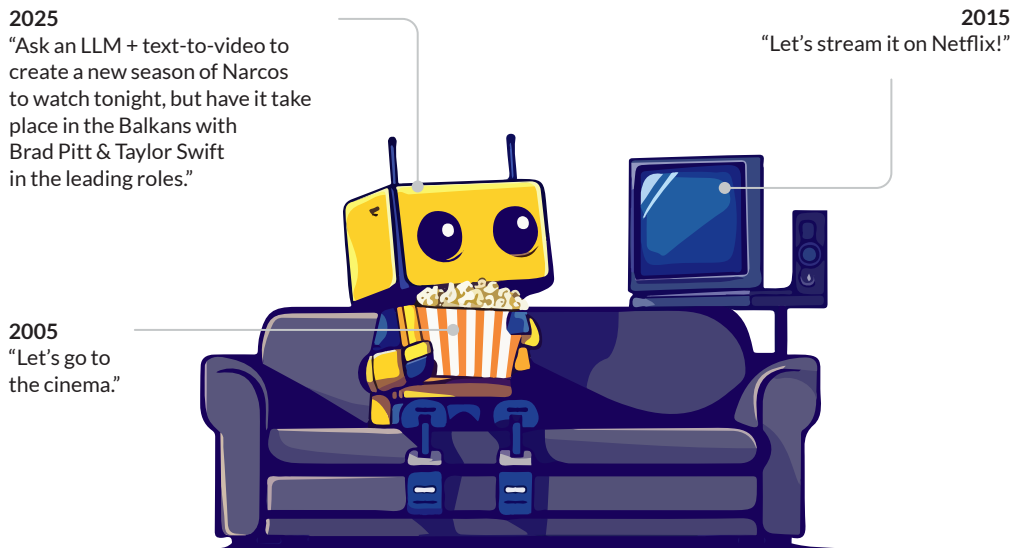
Social Media will move to the 5th stage, according to Sam Lessin:

1. Pre-Internet “Cosmopolitan magazine” era - all the social news came in one format, which, of course, was not appealing to most readers. But it was the place from which they obtained information about stars, trends, and others.

2. The introduction of Newsfeed - which killed the “Cosmopolitan magazine” era because now you have information more specific to your needs, that is, from your friends and family in a new digital way: the newsfeed.
3. The rise of the professionals (e.g., Kim Kardashian) - which killed the newsfeed. Now that most people discovered that their friends and family are not that cool, a new aspiration has risen: the Influencer. These “super cool individuals” attracted most of the followers based on the entertainment content they provided. As a result, they attracted a lot of views and... money.
4. The rise of algorithms - the magic of TikTok is that with their algorithm they started to show you video content based on your preferences from entertainers around the world (professional and amateur). As a result, Kim Kardashian and the alike felt the pressure and the need to protest about how this evolution impacted them (i.e., much less views).
5. The last step - autogenerated content - by DALL-E or other deep learning models. Soon enough, we will not make any difference between AI-generated content and professional-generated content.

Figure III.13 **CINEMA FILMS EVOLUTION**

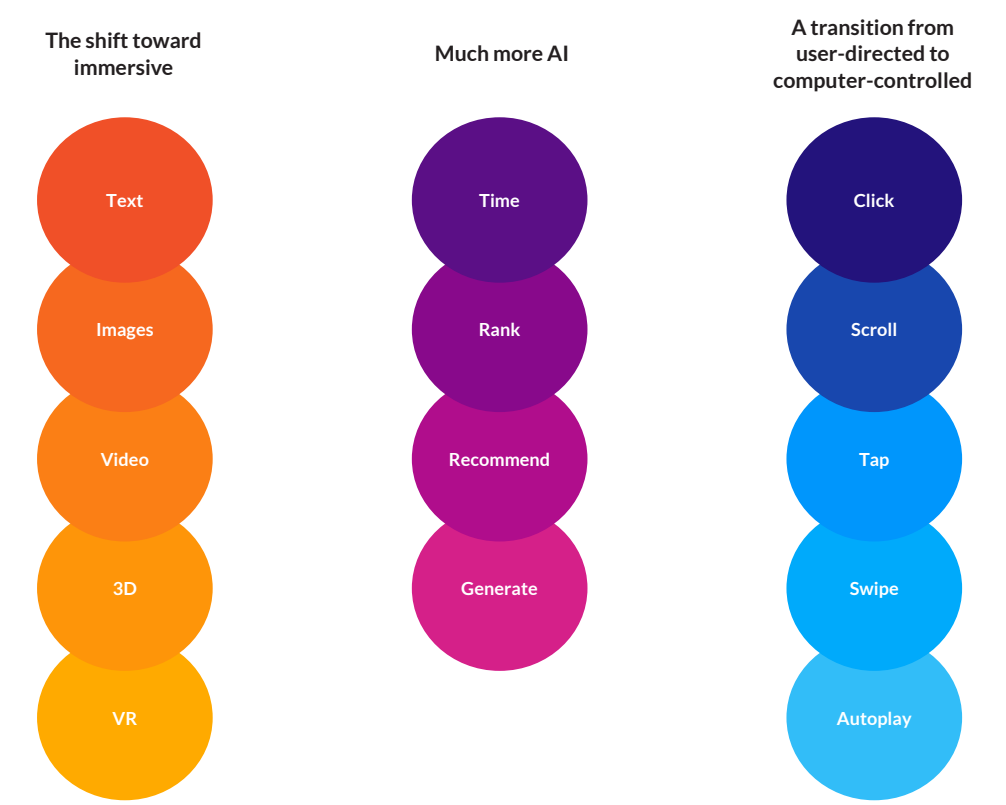
Source: author's own research



...and that means that the future of social media will be immersive, AI generated and computer-controlled (see Figure III.14).

Figure III.14 **EVOLUTION OF SOCIAL MEDIA, 2024 AND ONGOING**

Source: Thompson, 2022 (adapted)



Medical Care

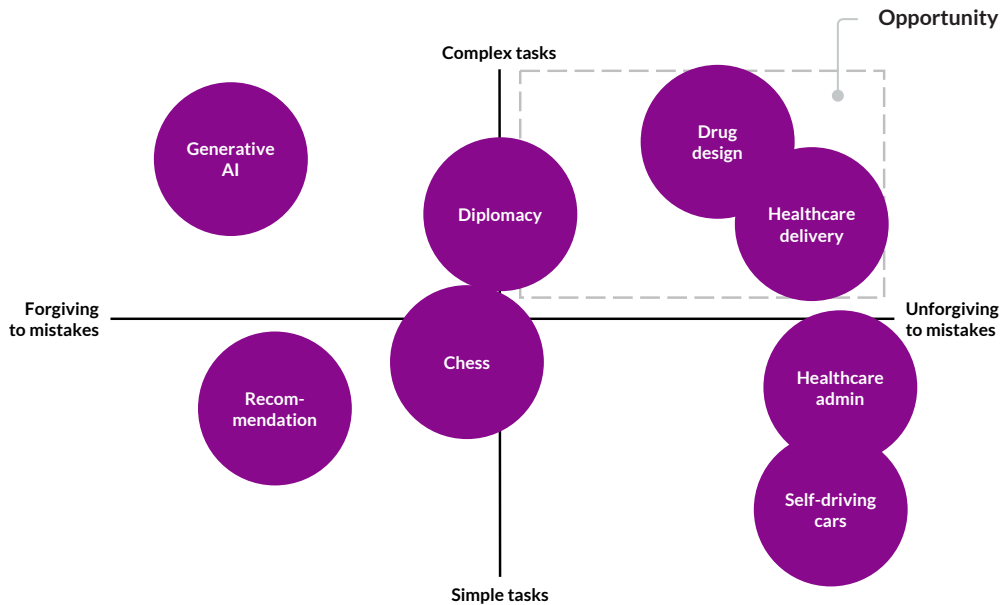
In the healthcare sector, generative AI will help by providing diagnosis to diseases by analyzing medical images and patient data with a greater degree of accuracy and speed than conventional methods. The development of new treatments by AI-driven drug discovery is happening as you read this, where the AI predicts molecular interactions and outcomes. The efficacy of interventions and patient care is enhanced by personalized treatment plans that are developed through AI analysis of patient histories and genetic information.

This framework proposed by Andreessen Horowitz venture capital firm (a16z.com) represents graphically the above comments and highlights the general opportunity in AI (see Figure III.15).

And these are just for “after the fact” solutions. There are many others in progress or already working in fields related to diagnosis, administrative solutions, wearables and monitoring devices, remote monitoring and telemedicine, data security, analytics, and reporting.

Figure III.15 **AI OPPORTUNITY MAP IN HEALTHCARE**

Source: Pande, 2023 (adapted)



Education

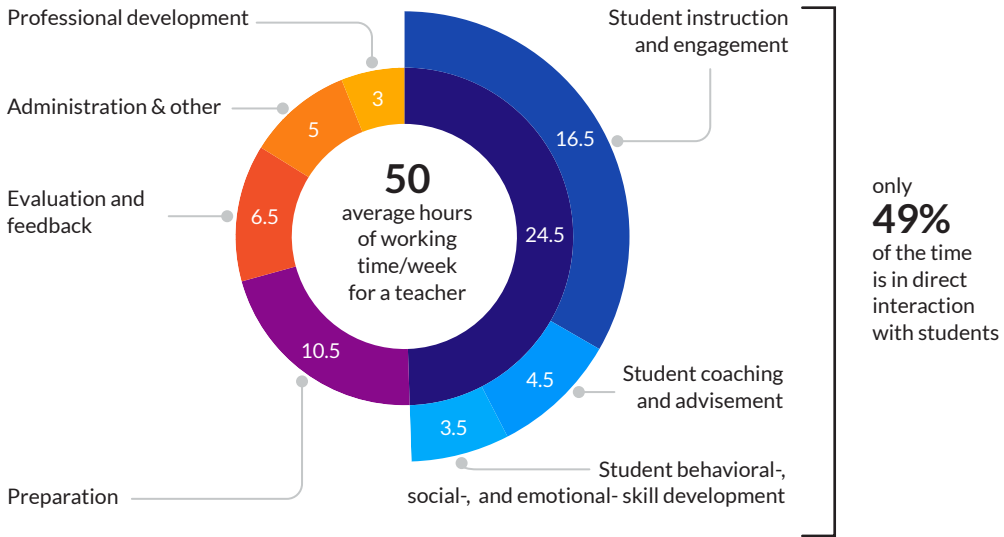
Generative AI is deployed through learning platforms that adapt content and pacing to the unique requirements of each student. Students are provided with personalized assistance and feedback by AI tutors, who operate outside of the conventional classroom environment. Additionally, automated content creation tools assist educators in the more efficient development of educational materials, thereby guaranteeing that they are customized to accommodate a variety of learning styles. AI Agents will know your weaknesses and strong points better than a professor today, hence will adapt the learning until it makes sure that you understand and learn.

We often forget that the focus should be on the student, not the admin part. The outcomes resulted from the McKinsey & Co assessment of the K-12 teachers from 1st to 12th grade) in the USA is the same as for a university professor (Figure III.16).

Figure III.16 **TIME SPENT BY TEACHERS IN K-12**

Source: McKinsey, 2024 (adapted)

i.) Average hours for respondents in Canada, Singapore, the United Kingdom, and the United States.



Financial Services

The finance sector is utilizing AI-driven trading algorithms to execute transactions at the most advantageous periods, hence increasing its overall profitability. The security and trust in financial transactions are improved by AI's capacity to identify fraudulent activities through pattern recognition. AI-generated personalized financial advice enables businesses and individuals to make informed decisions by utilizing real-time data and predictive analytics. This means the democratization of retail investment, hence leveling the field of competition between individuals and large organizations with close to unlimited resources.

With the arrival of AI Agents, much of the current work will be completely automated (Figure III.17).

Legal Services

AI-powered tools in legal services simplify legal research by promptly analyzing extensive legal documents and case law. Contract analysis software employs artificial intelligence to identify critical clauses and potential traps, thereby decreasing the time and expense associated with manual evaluations. Predictive analytics enable lawyers to anticipate case outcomes, hence providing more effective client advice and engage in more strategic planning (see Figure III.18).

Figure III.17 **TASK WITH POTENTIAL FOR AI AUTOMATION IN THE FINANCE SECTOR**

Source: Strange, 2024 (adapted)

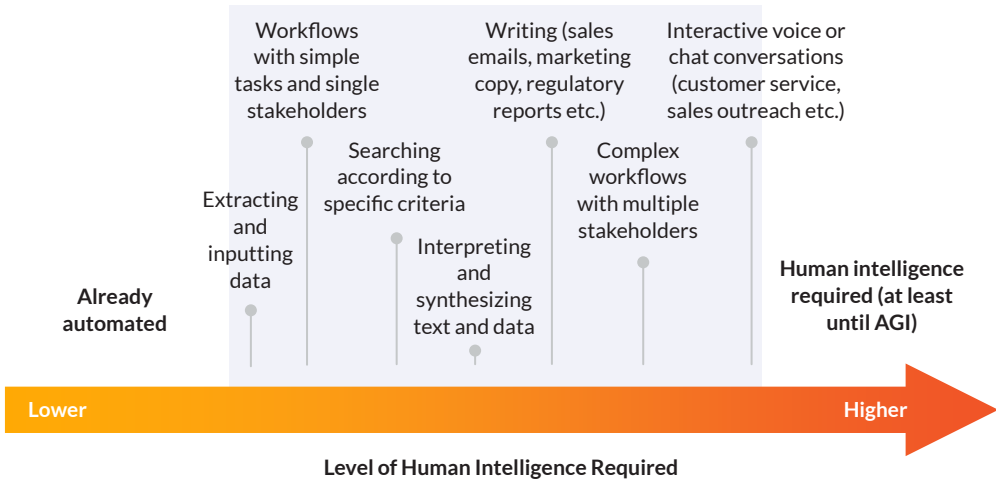


Figure III.18 **AI COMPARE SUMMARY**

Source: Macro, 2024

 **MACRO**

AI Compare Summary

Jacob Beckerman made 7 substantive changes on January 6th:

- [Acme LLC](#) inserted as the customer name in the Order Form and number of seats increased to [30](#) from [5](#).
- **Support** response time to reduced to [12](#) from [24](#) hours.
- **Authorized User** definition amended to include affiliates of Licensee in addition to direct employees and contractors.
- **License Grant** clause amended to clarify that email is sufficient to update the number of Authorized Users.
- **Fees** clause for overdue payment reduced to [0.5%](#) per month from [4.5%](#) and Licensee will not pay Licensor's collection fees on overdue payments.
- **Governing Law** clause changed to [California](#) from [New York](#).
- **US Government Rights** clause removed.

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